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Objective

# Investor Presentation

1HY2023 Financial Results

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# Objective

Outstanding
**digital government** software
driving **stronger communities**
and **nations**

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# AGENDA


01 Financial Summary

02 Objective Highlights 1HY2023

03 Business Line Review

04 Strategic Priorities Summary




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# 1HY2023 Financial Highlights

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**REVENUE**

**$55m**

+ 4% vs. 1HY2022

**ANNUALISED RECURRING REVENUE**

**$89m**

+ 12% vs. 1HY2022

**EBITDA[1]**

**$13m**

-16% vs. 1HY2022

**NET PROFIT AFTER TAX[1]**

**$11m**

+ 6% vs. 1HY2022

**RESEARCH + DEVELOPMENT**

**$13m**

24% OF REVENUE

**CASH**

**$54m**

+24% vs. 1HY2022

$44m

[1] Excluding NZCC Settlement

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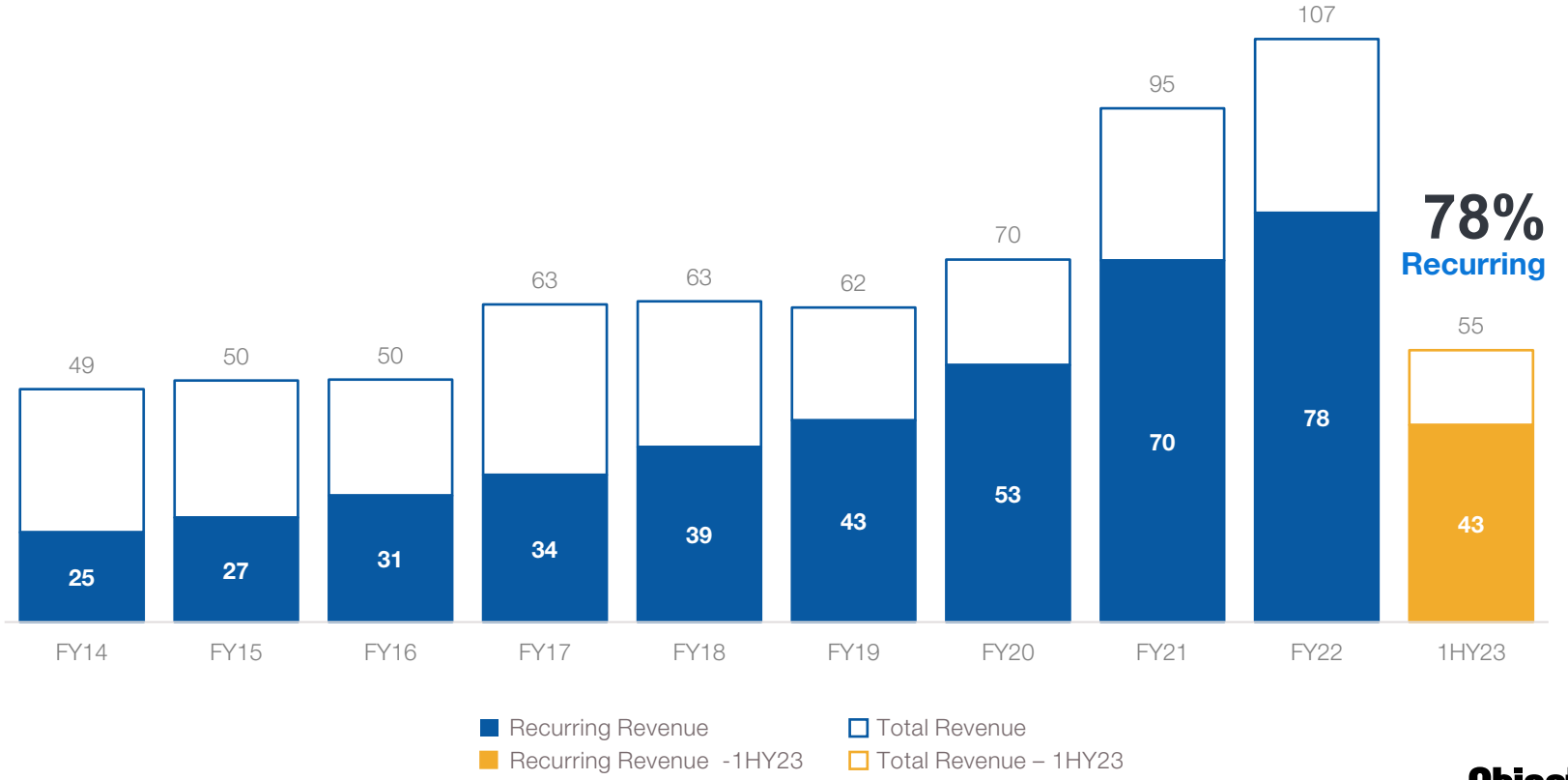
# 1HY2023 Strong Recurring Revenue Growth

| | |
|---|---|
| Objective ECM as a Service | 84% |
| Objective REGWORKS | 46% |
| Objective TRAPEZE | 18% |
| Objective CONNECT | 12% |

# Successful transition to subscription revenue

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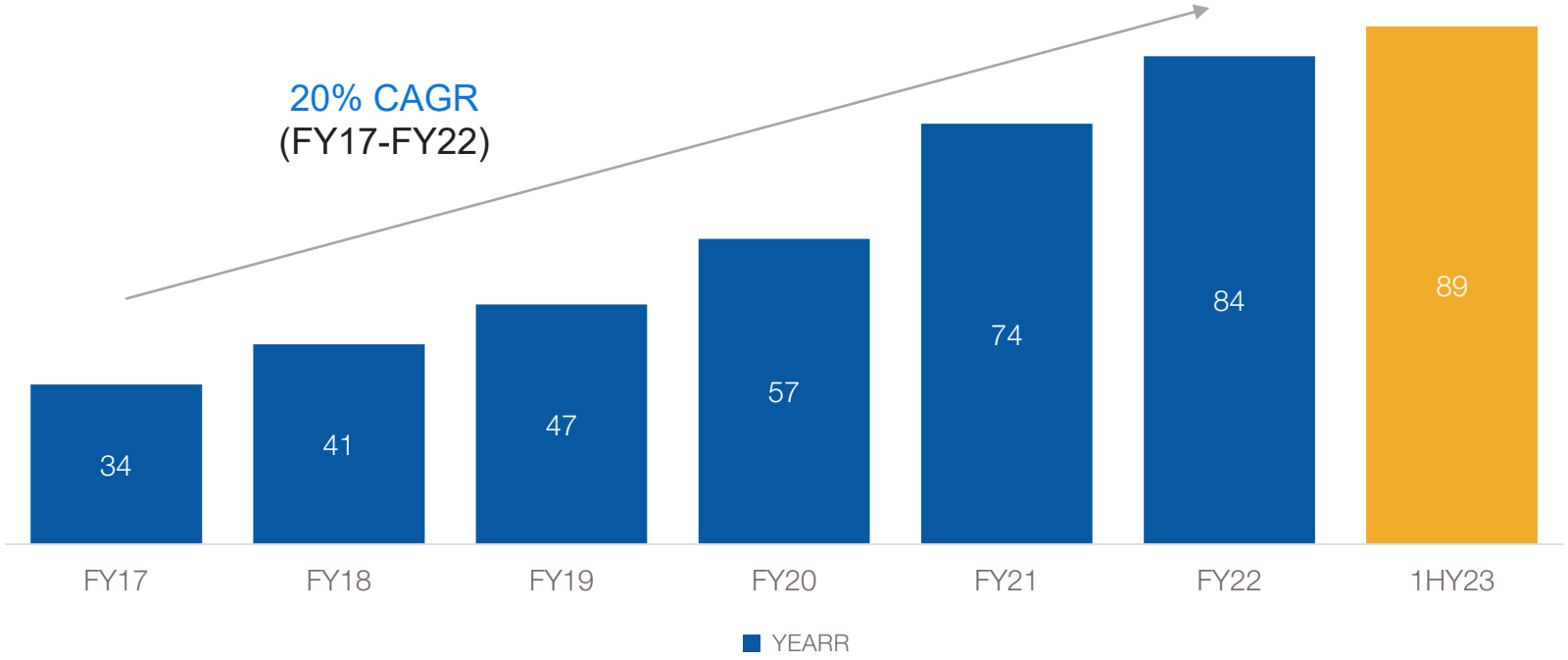
# Consistent growth in YEARR

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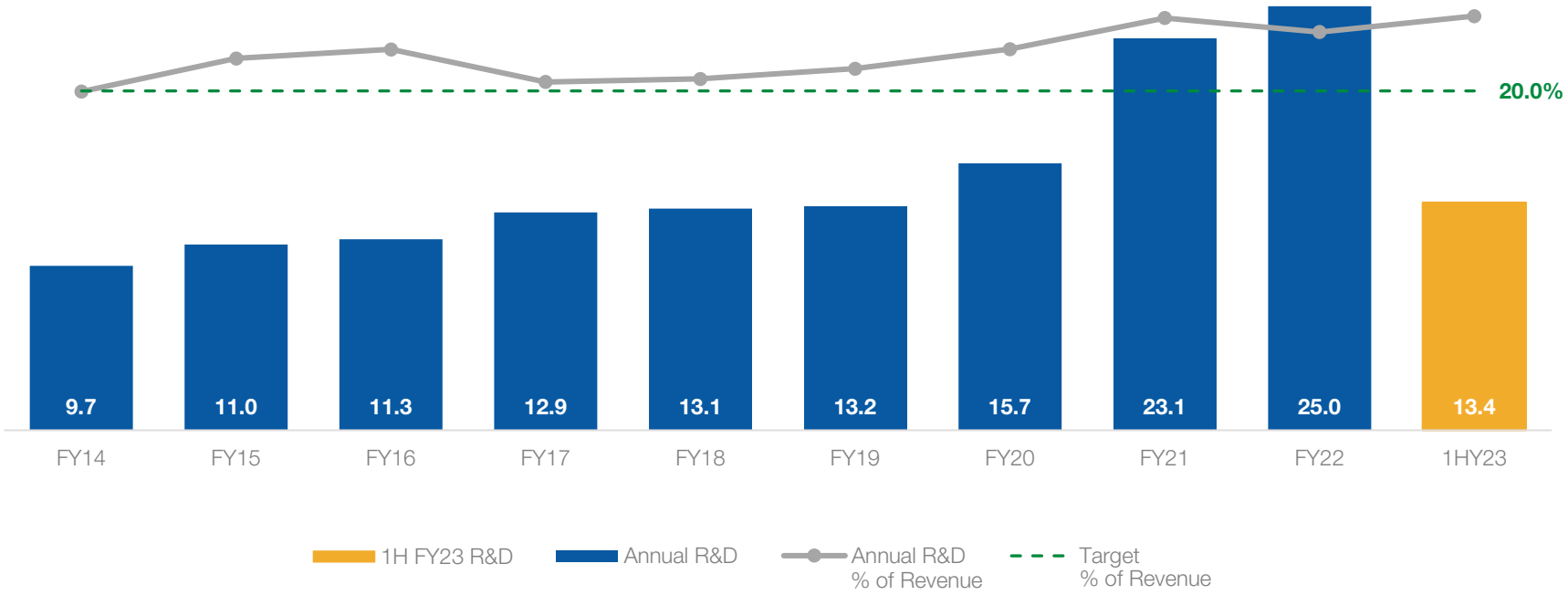
# Significant R&D investment

**24% OF 1HY2023 REVENUE REINVESTED INTO R&D**

**100% EXPENSED – NO CAPITALISATION**

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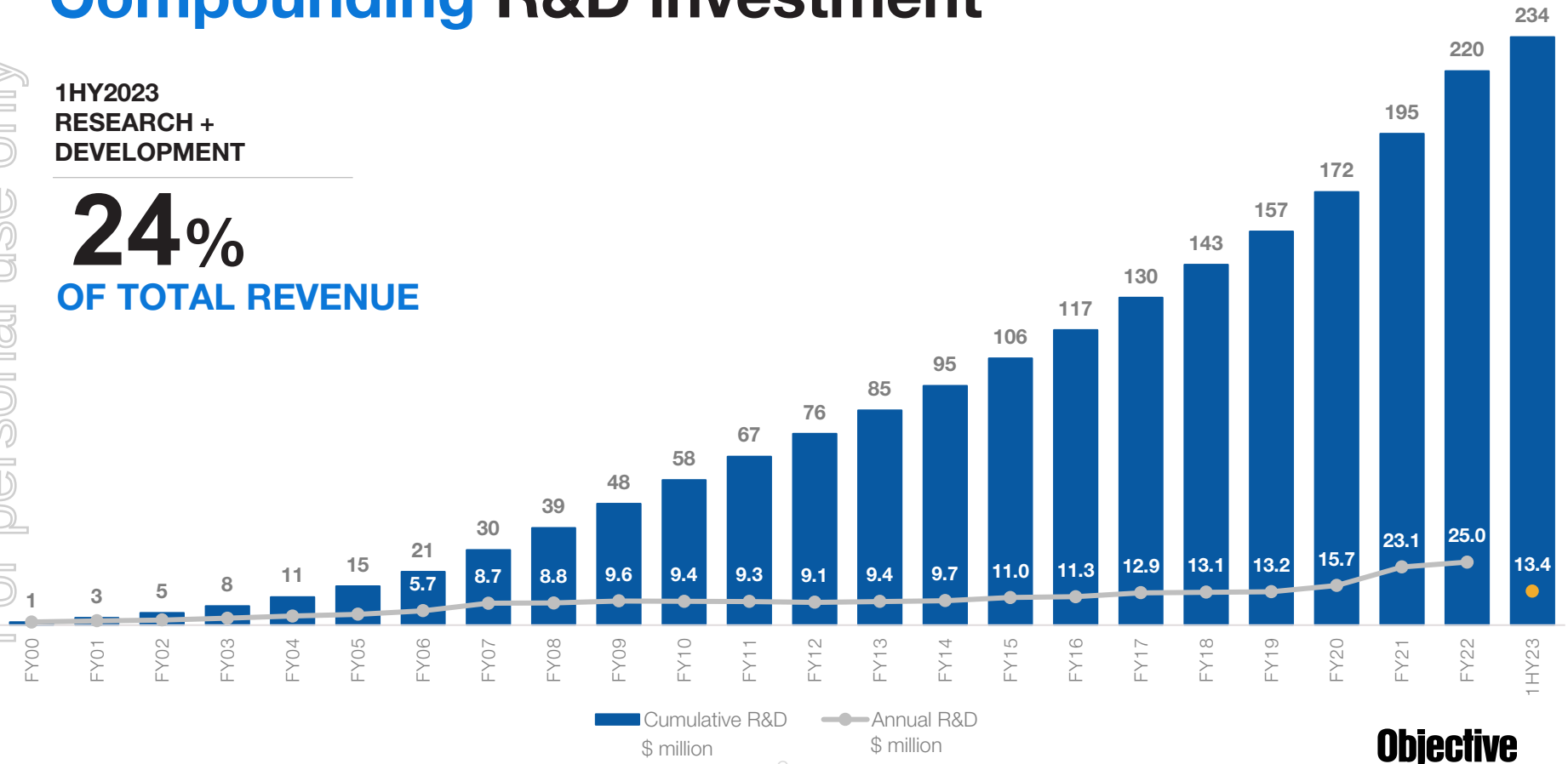
# Compounding R&D investment

**1HY2023 RESEARCH + DEVELOPMENT**

**24%**

**OF TOTAL REVENUE**

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# Objective Flywheel of Innovation

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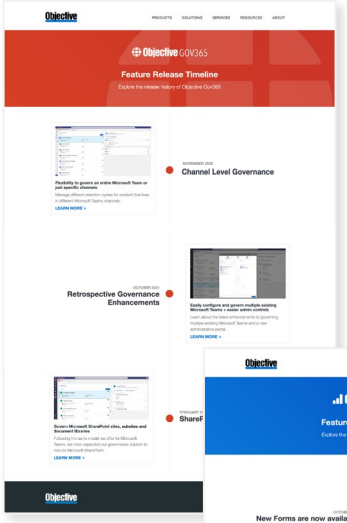
# Product Releases

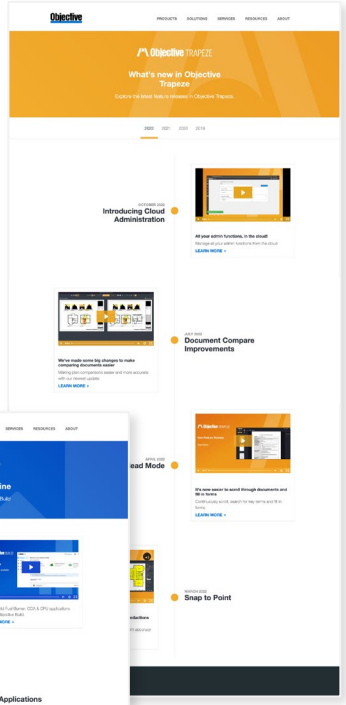
**Continual innovation across all products**

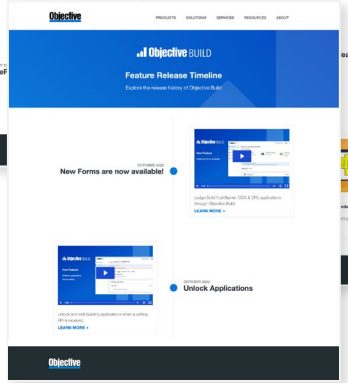
While new releases in FY2022 were dominated by new products: Objective Nexus, Objective Build and Objective 3Sixty, the flywheel of innovation through FY2023 is producing innovations across the entire product suite.

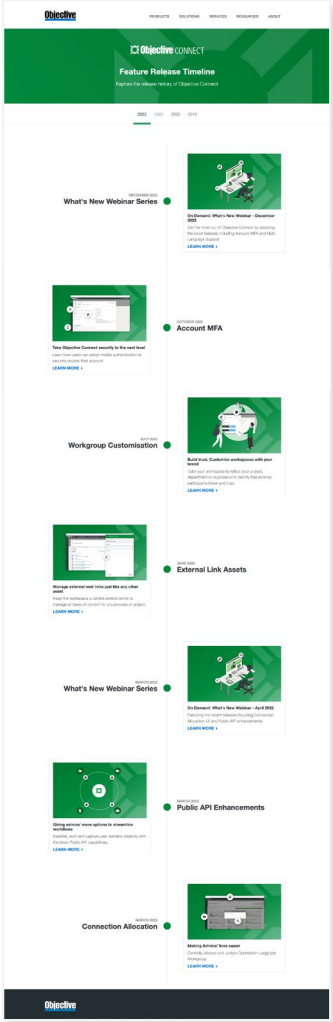
Bringing completely new products to market is important, but so too is ensuring our existing products continue to evolve to meet the current and future needs of our customers.

Our development program for FY2023 is delivering just that.

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# Digital government investment

**Increased activity throughout the public sector, our primary target market**

Analyst research has predicted strong growth in IT spending, particularly software; driven by key programs to progress the digital economy, strengthen national cyber response, adopt emerging technologies and address gaps in regulation to cover technology. Customers' ability to implement these program has been hampered by labour shortage in the public sector. While the job vacancy levels have grown over the past 2 years, they have shown signs of improvement in late 2022.

Gartner

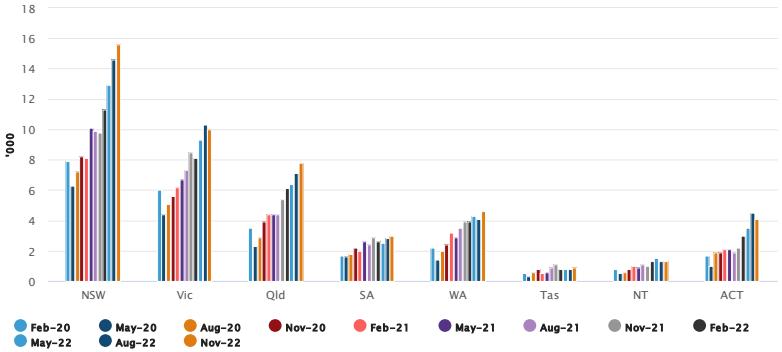
**Government IT Spending Forecast by Segment, 2021-2022, Australia (Millions of Australian Dollars)**

| Segment | 2021 Spending | 2021 Growth (%) | 2022 Spending | 2022 Growth (%) |
|---|---|---|---|---|
| IT Services | 6,001 | 7.0 | 6,435 | 7.2 |
| Software | 3,935 | 14.7 | 4,689 | 19.2 |
| Telecom Services | 665 | -1.0 | 659 | -1.0 |
| Internal Services | 2,571 | 0.9 | 2,669 | 3.8 |
| Devices | 685 | 15.0 | 651 | -5.0 |
| Data Centre | 408 | 0.5 | 425 | 4.1 |
| **Total** | **14,266** | **7.6** | **15,528** | **8.8** |

Source: Gartner (August 2021)
https://prwire.com.au/pr/98573/gartner-forecasts-australian-government-sector-it-spending-to-grow-8-8-in-2022

Australian Bureau of Statistics

**Job vacancies, public sector, states and territories**




Source: Australian Bureau of Statistics, Job Vacancies, Australia November 2022

https://www.abs.gov.au/statistics/labour/jobs/job-vacancies-australia/latest-release#public-sector

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# Security, always a priority

**At Objective, security not just a compliance program, it is a culture**

Our government customers and those in regulated industries are delivering important community and national outcomes, in doing so, they are responsible for managing some of the most confidential, sensitive, private and personal information in the world. Security is built into our software applications from inception, it is embedded into our processes and is nurtured in our people.

## OUR COMMITMENT TO SECURITY

**Encryption**
Data encrypted in transit and at rest.

**Employees vetted**
Employee screening aligned to AS 4811:2022.

**Experience**
30+ years of security and compliance program.

**Security built-in**
Automated dynamic application security testing and vulnerability testing.

**Audited**
Continual program of external audits and 3rd party penetration testing.

## SECURITY ACCREDITATIONS

ISO 27001

CSA cloud security alliance®

irap®

Australian Government Department of Defence
Defence Industry Security Program

ISO 9001

CYBER ESSENTIALS

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# In-person connections

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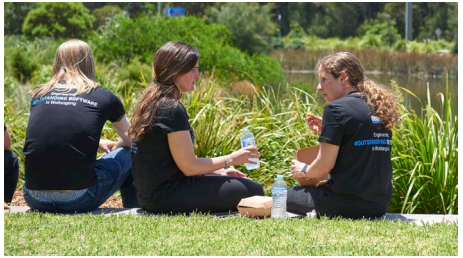
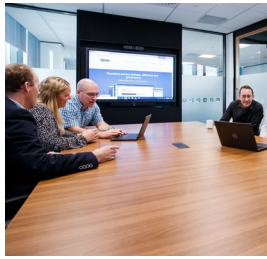
**Connecting with customers, colleagues and business partners in real life**

The first half of FY2023 saw the return of in-person events and meetings. The opportunity to reconnect with customers in real life has been highly valuable across all stages of our engagement with customers; pre-sales, project rollouts and ongoing customer success and support. For our teams, getting together in person, in some cases for the very first time, enhances communication, builds bonds and fosters a strong culture. There is a cost, but we think its worth it.







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# Over 1000+ customer relationships

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**20+ YEARS**

ResMed
NSW Government Transport for NSW
City of Darebin
Clarence... a brighter plac
Australian Government IP Australia
Queensland Police Service
Australian Government Department of Defence
Frankston City
Llywodraeth Cymru Welsh Government
The Scottish Government
Australian Government Attorney-General's Department
Barwon Water

**10+ YEARS**

ACT Government
Crown
Highlands and Islands Enterprise Iomairt na Gàidhealtachd 's nan Eilean
MRC Medical Research Council
Ministry of Social Development Te Manatū Whakahiato Ora
Charity Commission for England and Wales
Government of South Australia Department of Treasury and Finance
Government of South Australia Department of the Premier and Cabinet
Department of Biodiversity, Conservation and Attractions
UniSuper
Land Information New Zealand Toitū te whenua
Delta electricity
NERC Science of the Environment
Port of Brisbane Here for the future
Tertiary Education Commission Te Amorangi Mātauranga Matua
Government of Western Australia Corruption and Crime Commission
AusNet services
Great Lake Taupō Taupō District Council
Government of Western Australia Department of Mines, Industry Regulation and Safety
Moreton Bay Regional Council
Government of South Australia South Australian Fire and Emergency Services Commission
Pharmac Te Pātaka Whaioranga
Government of South Australia Department of Human Services
Office of the Clerk of the House of Representatives Te Tari o te Manahuinui o te Whare Mārgai
NatureScot Scotland's Nature Agency Buidheann Nàdair na h-Alba
origin
NSW Government Office of Local Government
Invercargill City Council
Privacy Commissioner Te Mana Matapono Matatapu
CityGas Warming hearts in the city
Government of South Australia Department of Primary Industries and Regions
Government of Western Australia
HSS health support services
Parliamentary Service Te Ratonga Whare Pāremata
The Royal New Zealand College of General Practitioners Te Whare Tohu Rata o Aotearoa
Department of Primary Industries and Regional Development
Landcom
WA Police
nanosonics Infection Prevention. For Life.
Department of Transport
Bay of Plenty Regional Council Toi Moana
Government of Western Australia Department of Communities
New Hope Group
Parliament of South Australia
Public Transport Authority
OSCR Office of the Scottish Charity Regulator
Hobsons Bay City Council
Kāinga Ora Homes and Communities
NZ Transport Agency Waka Kotahi
NOPSEMA
Fairfield City Celebrating diversity
SACE Board of SA
MRA Metropolitan Redevelopment Authority
NSW Government Premier & Cabinet
NSW Government Communities & Justice
Counties Manukau Health
Whakatāne District Council
Health Promotion Board
Otago Regional Council
Government of South Australia SA Health
Parliament of Western Australia
Commonwealth Ombudsman
Government of Western Australia Department of Planning, Lands and Heritage
Sentosa Sentosa Development Corporation
Greater Dandenong City of Opportunity
mda Media Development Authority Singapore
state trustees
Unitywater
Northland Regional Council Te Kaunihera ā rohe o Te Taitokerau
Western Bay of Plenty District Council
futurefund Australia's Sovereign Wealth Fund
University of Portsmouth
REANNZ
Port of Melbourne Corporation
For North District Council Te Kaunihera o Tai Tokerau ki te Raki
Midcoast Water
Port Kembla Port Corporation
Legal Practice Board of Western Australia
NSW Government The Treasury
environment Southland Regional Council Te Taiao Tonga
Bedford Borough Council

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# Business Lines

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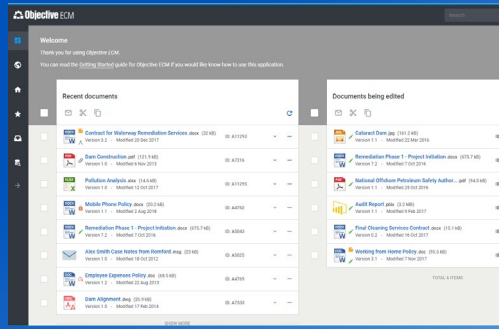
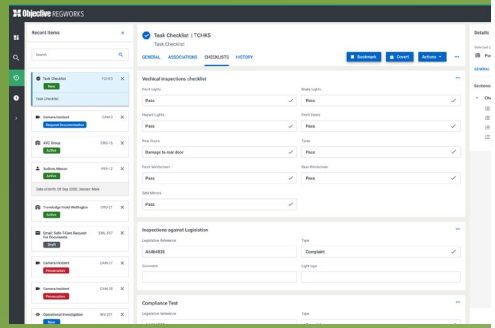
## Content & Process

Empower people and processes with information.




## RegTech

Easy and efficient regulation for government and financial services.




## Planning & Building

Streamline the building assessment and consent process.

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# Content & Process

## Accountability that builds trust in government

Empower people and processes with information.

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Objective ECM
Objective NEXUS
Objective CONNECT
Objective 3SIXTY
Objective GOV365
Objective KEYSTONE
Objective MINISTERIALS
Objective OPENGOV
Objective REDACT

| 1HY2023 | 1HY2022 | % CHANGE |
|---|---|---|
| $38.1m | $36.7m | ↑4% |

**1HY2023 Business Line highlights**

- Go-live of Nexus at SAFECOM and Gov365 at City of Gold Coast
- Delivered 'Collaborate Roadshow' in-person customer event covering eight cities across Australia, NZ and UK; showcasing Objective's complete Content & Processes portfolio
- Accelerated development program for Objective 3Sixty and continued to develop distribution network in North America
- Objective Connect grew revenue by 12%, including selection by a leading global cybersecurity consulting firm - reflecting long-term investment in security credentials.
    - Released functionality that supported expanded use cases for community facing customers.
- Objective Keystone continued investment in public sector specific functionality to support the separation of the go-to-market branding into Keyplan for public sector customers and Keystone remaining focused on financial services market.

# RegTech

## Protecting what matters

Easy and efficient regulation for government and financial services.

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Objective REGWORKS

Objective REACH

| 1HY2023 | 1HY2022 | % CHANGE |
|---|---|---|
| $10.4m | $9.8m | ↑5% |

**1HY2023 Business Line highlights**

- Launched the New Zealand Police Arms Information System (AIS) as part of an ongoing program to deliver a nationwide firearms registration and licensing solution that will assist in the regulation of over 2 million firearms in New Zealand.
- Published Government Regulatory Technology Report, establishing Objective as a thought leader in the regulatory software market
- Launched Objective RegWorks in the UK with strong target customer engagement
- Completed TfNSW BAHS migration, supporting future expansion of potential use cases for Objective software in road safety applications
- R&D investment targeted to user configurability and speed of deployment.

# Planning & Building

## Creating tomorrow's communities, today

Streamline the building assessment and consent process.

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Objective BUILD

Objective TRAPEZE

| 1HY2023 | 1HY2022 | % CHANGE |
|---|---|---|
| $5.9m | $6.1m | ↓3% |

**1HY2023 Business Line highlights**

- Objective Build
  - Over 20 councils in New Zealand committing to implement the solution with an expectation that more than half of New Zealand's councils will be live on the platform during 2023
- Objective Trapeze
  - Objective Trapeze customer base now covers more than 50% of all councils in Australia and New Zealand and over 350 globally
  - Over 3,000 planning professionals utilise Trapeze Professional each day, including implementation in 1HY2023 at Kāinga Ora (Homes and Communities)
- Decrease in headline revenue following conclusion of IT outsourced services contracts that were non-core inclusions in the acquisition of Master Business Systems (MBS) in FY2020. IT services market is not part of Objective strategy.
  - 4% revenue growth in 1HY2023 for Planning & Building excl. IT services contracts

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# Objective Strategic Pillars

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1

Engineer **#OUTSTANDING** solutions

2

**Deliver** more opportunities for **Customers**

3

**Grow** our **Family**

4

Attract **New Fans**

# Outlook: Strategic priorities for FY2023

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## ARR FOCUS

Continue to prioritise ARR growth over one-off revenue to deliver higher quality and more sustainable future earnings. Perpetual right to use sales will cease by 30 June 2023 in line with transition to cloud delivery for ECM.

## GEOGRAPHIC EXPANSION

Leverage existing market presence in ANZ and UK to expand market opportunity for Planning & Building and RegTech. Expand existing partner relationships to accelerate growth in North America.

## MARKET LEADERSHIP

Product releases and acquisition in FY2022 has delivered important expansions in product offering. Focus in FY2023 on sales execution, new customer wins and establishing market leadership.

## INVEST TO GROW

Existing balance sheet capacity and strong cash flow generation allows us to continue to invest in both organic growth and acquisition opportunities.



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# Digital Government.
# Stronger Communities.

**We create software that makes a difference.**

Using Objective software, thousands of public sector organisations are shifting to being completely digital. Where our customers can work from anywhere; with access to information, governance guaranteed, and security assured.

Innovation is our lifeblood. We invest significantly in the ongoing development of our products to deliver outstanding solutions to the public sector and regulated industries.

The result - stronger national and community outcomes; and accountability that builds trust in government.

**OBJECTIVE.COM**



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# Objective

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